

Retraining as a tightwad

It won't be easy to discover your inner thrifty saver – but here are six steps from someone who's been there, done that.

Part 1: Sever credit

Credit was the petrol in my spender's engine, so I have opted out of that ticket to ride.

I was not the sort to pay off a credit card at the end of each month, so I no longer have one. When I started the Pocket Money Savings Plan, I considered having an emergency credit card with a \$500 limit for a car breakdown, doctor's bills and the like, but I have been so puritanical that I haven't needed one. One day I will likely own a credit card again, with the lowest limit possible, now that I feel confident in my relationship with money.

The first aim of the plan is to eradicate debt. I cut up my credit card, removed the saved number from account settings on e-boutiques so I couldn't shop in a weak moment, and allocated an amount every week to erase the debt as quickly as possible.

At first, I set aside the full amount of the plan – \$200 a week – to paying down the credit card, which meant I was using money allocated to my savings for daily expenses. I filed some outstanding tax returns and paid the sum of them off what I was owing. By the end of the first year, I had rid myself of that shopping debt and I could save in full flight.

Part 2: Budget

How much can you subsist on? Subsistence is the key. Reduce your life to the basics: food, transport, shelter. The Pocket Money Savings Plan doesn't